SYKES BOND HOLDING COMPANY (PRIVATE) LIMITED
versus
FRANCIS XAVIER CHITANDA
and
THE MASTER OF THE HIGH COURT N.O.

HIGH COURT OF ZIMBABWE
MAMBARA J
HARARE 28 January 2026 and 2 February 2026

Opposed Application

C. Chidzanga, for the applicant
B.D. Ndoro, for the 1st respondent

MAMBARA J:

[1] This is an application for the provisional liquidation of the estate of the first respondent in terms of ss 6(1) and 3(2)(a) of the Insolvency Act [*Chapter 6:07*]. The applicant is a judgment creditor of the first respondent, the debt arising from proceedings in which the first respondent stood jointly and severally liable with Intercontinent Energy (Private) Limited.

[2] It is common cause that the applicant obtained judgment in the Magistrates' Court against Intercontinent Energy (Private) Limited and the first respondent for payment of USD 287 000 together with interest, costs, and collection commission. Execution against the company yielded an insignificant amount, and the company has since been placed under provisional liquidation. The balance of the judgment debt remains unpaid.

[3] The applicant thereafter served the first respondent with a statutory demand in terms of s 3(2)(a) of the Insolvency Act. The demand was not met, no security was furnished, and no compromise was proposed within the statutory period. The applicant consequently approached this court seeking the provisional liquidation of the first respondent's estate.

[4] The first respondent raised a preliminary objection to the effect that the founding affidavit is fatally defective on the basis that the board resolution authorising the institution of proceedings does not disclose the names of the signatories and therefore does not clothe the

deponent with authority. At the commencement of the hearing the point *in limine* was abandoned.

Merits

[5] The requirements for a provisional liquidation order are trite. In terms of ss 6(1) and 3(2)(a) of the Insolvency Act, an applicant must show that it is a creditor, that the debtor has committed an act of insolvency or is unable to pay his debts, and that there is reason to believe that liquidation will be to the advantage of creditors.

[6] The applicant has established its status as a creditor. The debt is founded on a valid court order, remains unsatisfied, and is not seriously disputed.

[7] The statutory demand served upon the first respondent substantially complies with Form F of the First Schedule and was served in the manner prescribed by s 3(3) of the Act. The first respondent did not deny receipt of the demand and failed to comply therewith.

[8The failure to satisfy a statutory demand within the prescribed period constitutes clear evidence of inability to pay debts. As was stated in *Profert Zimbabwe (Private) Limited* v *Madcom Investments (Private) Limited* HB 83/16, a debtor's failure to meet a statutory demand is itself sufficient to ground insolvency proceedings.

[9The argument that execution was first pursued against the company does not avail the first respondent. He is a co-principal debtor by virtue of his suretyship and remains personally liable notwithstanding the provisional liquidation of the company.

[10] In *De Waard* v *Andrew & Thiehaus Ltd* 1907 TS 727 at 733, INNES CJ remarked that the best proof of solvency is payment of debts. The first respondent has not paid, secured, or compounded the debt. Assertions of solvency unsupported by payment ring hollow.

[11] At the provisional stage, the court is not required to determine solvency conclusively. It suffices that there is a reasonable prospect that liquidation may yield benefit to creditors, whether through asset realisation or investigation. See *Chenille Industries* v *Vorster* 1953 (2) SA 691 (O).

[12] The Master of the High Court has confirmed that security has been furnished and has no objection to the appointment of the proposed provisional liquidator.

[13]I am satisfied that the applicant has made out a proper case for the grant of a provisional liquidation order.

[14] In the result, it is ordered as follows:

1. The estate of the first respondent, Francis Xavier Chitanda, is hereby provisionally wound up, pending the granting of a final order or the discharge of this order.
2. Subject to s 41(3) of the Insolvency Act [*Chapter 6:07*], Samuel Rwambiwa of Tamworth Consultancy (Private) Limited is hereby appointed Provisional Liquidator of the first respondent's estate, with the powers set out in Part X of the Act.
3. Any interested party may appear before this court sitting at Harare on 25 March 2026 at 10:00 hours to show cause why a final order of liquidation should not be granted placing the first respondent in liquidation.
4. The costs of this application shall be costs in the liquidation.
5. This order shall be published once in the Government Gazette and once in any newspaper of wide circulation.
6. Any person intending to oppose or support the application on the return date of this order shall:

6.1. Give due notice to the applicant at Moyo and Jera Legal Practitioners, No. 6 Armagh Avenue, Eastlea, Harare

6.2. Serve on the applicant at the address stated above a copy of any affidavit which he files with the Registrar of the High Court.

MAMBARA J:…….

Moyo and Jera, applicants legal practitioners
Macharaga Law Chambers, first respondents legal practitioners